**ii. Foreign Exchange Market:** It is an international market. This type of markets helps exporters and importers, in converting their currencies into foreign currencies and vice versa.

**iii. The Stock Market:** This is a market where sales and purchases of shares, debentures, bonds etc., of companies are dealt with. It is also known as Securities market. Stock Exchanges of Mumbai, Kolkata, Chennai etc., are examples for this type of market.

## III. On the Basis of Economics

**a. Perfect Market:** A market is said to be a perfect market, if it satisfies the following conditions:

i. Large number of buyers and sellers are there.

ii. Prices should be uniform throughout the market.

iii. Buyers and sellers have a perfect knowledge of market.

iv. Goods can be moved from one place to another without restrictions.

v. The goods are identical or homogenous.

It should be remembered that such types of markets are rarely found.

**b. Imperfect Market:** A market is said to be imperfect when

i. Products are similar but not identical.

ii. Prices are not uniform.

iii. There is lack of communication.

iv. There are restrictions on the movement of goods.

## IV. On the Basis of Transaction

**i. Spot Market:** In such markets, goods are exchanged and the physical delivery of goods takes place immediately.

**ii. Future Market:** In such markets, contracts are made over the price for future delivery. The dealing and settlement take place on different dates.

## V. On the Basis of Regulation

**i. Regulated Market:** These are types of markets which are organised, controlled and regulated by statutory measures.

**Example:** Stock Exchanges of Mumbai, Chennai, Kolkata etc.

**ii. Unregulated Market:** A market which is not regulated by statutory measures is called unregulated market. This is a free market, where there is no control with regard to price, quality, commission etc. Demand and supply determine the price of goods.

## VI. On the Basis of Time

**i. Very Short Period Market:** Markets which deal in perishable goods like, fruits, milk, vegetables etc., are called as very short period market. There is no change in the supply of goods. Price is determined on the basis of demand.

**ii. Short Period Market:** i. In certain goods, supply is adjusted to meet the demand. The demand is greater than supply. Such markets are known as Short Period Market.

**iii. Long Period Market:** This type of market deals in durable goods, where the goods and services are dealt for longer period usages.

## VII. On the Basis of Volume of Business

**i. Wholesale Market:** In wholesale market goods are supplied in bulk quantity to dealers/ retailers. The goods and services are not sold to customers directly.

**ii. Retail Market:** In retail market the goods are purchased from producer or wholesales and sold to customers in small quantities by retailers.

## VIII. On the Basis of Importance

**i. Primary Market:** The Primary producers of farm sell their output or products through this type of markets to wholesalers or consumers. Such markets can be found in villages and mostly the products arrive from villages.



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